based on the War Financial Settlement of 1940. The British government had been toying with the idea of altering this (i.e. increasing India's contribution to the war effort and thereby ensuring that sterling balances did not accumulate), but better sense prevailed when the Viceroy highlighted the fact that any attempt to reduce the sterling balances by increasing India's contribution to the war effort would have disastrous political and economic consequences. Fear of political turmoil and obstruction in the war effort must have weighed heavily as L.S. Amery, the Secretary of State for India, wanted to 'let this sleeping dog lie…and reopen the question if necessary only after the war.'[5] When the war spread to the Far East with the entry of Japan, Churchill and his Chancellor of the Exchequer were of the view that it was only 'fair' that India contribute more to the war effort. The Indians also feared that large balances might be appropriated on the principle of equal sacrifices for war effort. In the end, it was the fear of losing Indian cooperation in the government of the country and international opinion which prevented the government from pressing for revision.

Amery wrote to the Viceroy, Linlithgow, that what was to be avoided at any cost was the folly of the Winstonian (Churchill) approach of 'when driving to catch a train for life or death, to lean through the window and tell the taximan that you do not mean to pay the fare at the station because you have a moral counter-claim against him.'[6] Churchill had in July 1943 declared at a War Cabinet Meeting that it was impossible for Britain to make repayment on such a large scale without putting an unbearable burden on the British working classes. Nor could Churchill come to terms with a scenario where Britain 'defended' India against the enemy and then, if successful, was turned out herself by India after the war and was left with an immense financial debt to India. In a telegram to the Viceroy, he observed that 'this is a singularly ill-contrived world but not so ill-contrived as that.'[7]

Purshotamdas and his colleagues used every possible forum in their campaign against any attempt to scale down India's sterling balances or allow them to be frittered away. In June 1944, Purshotamdas and G.D. Birla gave a strong rejoinder to Keynes' plea for fresh negotiation of the War Financial Settlement of 1940 which they felt amounted to a repudiation of England's debt to India. Purshotamdas construed Keynes' article written in *The Economist* as a deliberate attempt to induce the Government of India to